



Data, Data, And More Data

Reliance chief Mukesh Ambani feels that the future of telecom is in delivering data services. And he goes to lengths to explain that Reliance Infocomm is not just about voice services. "So much so that, looking at the success of our data services, several other players are keen on providing them," he says.

Reliance has a multi-pronged strategy for delivering data services to the consumer: corporate broadband, 3G Mobile services, Reliance Netway, Reliance WebWorld, and Internet Data Centres.

"We already deliver corporate broadband services with Ethernet links at 100 Mbps. It is our endeavour to enter the home market at the same speeds," says Ambani. If that becomes reality

(market sources say this will be in the next financial quarter), homes will be connected using Reliance's high-speed optical fibre network (Reliance has identified more than 1 million homes across the country for this purpose), giving them access to services that go beyond the Internet.

For instance, the Netway service gives options such as watching television channels, high-speed Internet telephony, audio and video-conferencing, video-on-demand, a jukebox, time-shifted television, t-commerce and even home-surveillance services in various Indian languages.

On the other hand, Reliance has already begun such services in 250 Web Worlds in India, offering the same services. WebWorlds are communication technology

outlets that offer Internet, voice, gaming, and even corporate services.

To add a bit of glamour, WebWorlds often host video chats with movie stars and other popular personalities. In what was clearly an out-of-the-box idea, earlier this year, WebWorlds across India let siblings in different cities talk to each other through video-conferencing for 15 minutes on Rakshabandhan day for a fee of Rs 375.

R World, meanwhile, delivers broadband services to the mobile phone. At present, R World has page views of 1.5 billion a month, and over a hundred services, ranging from ring tones and screensavers to checking your bank statements, downloading songs and videos, booking railway tickets and paying bills.

For Ambani, it is no different. "When we entered the business, the other players were looking at providing vanilla telecom services to an already under-served country like India," he says. "We have changed the model of communication and data services. I guess we are driven by the desire to become a facilitator, an enabler of business, by providing the entire gamut of communications services and not just telecommunication services. We have done that in just 18 months."

GSM Or CDMA?

One of the key drivers of this silent revolution was the choice of the platform to deliver services. Before the entry of Reliance, there were dominant players in the GSM arena—Orange, BPL, Idea Cellular, Essar and AirTel. Reliance chose CDMA 2000 1X, (CDMA stands for Code Division Multiple Access).

"CDMA technology meant that we could use Enhanced Voice Rate Codec (EVRC)," says Ambani, "which ensured that the back-end is continuously scalable, and gave high levels of voice clarity." So much so that Reliance phone owners often have to keep the phone slightly away from their ears because of the enhanced voice levels. Thankfully, every mobile phone has a volume adjust button.

However, loud volume is only a minor issue

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when Ambani is investing \$5.5 billion in building a countrywide telecommunications network. In Indian currency, that will be Rs 26,000 crore, one-third of India's defence budget this year.

Ambani is convinced of the size of the investment, even though it may sound huge. "It is still very competitive in the global context," he says in a matter-of-fact way. "Other companies would have to invest at least three to four times this amount to reach the level of our large initiative."

Hindsight is an exact science, says Murphy's Law. However, insiders at Reliance say that Ambani has developed foresight into an advanced science. The adoption of CDMA meant that Reliance phones cannot be taken out of the country, but it also meant that Reliance could exploit a domestic market of data services—one that did not exist, or if it did, was restricted to downloading news headlines via SMS or downloading ringtones, screensavers, and wallpapers.

The Services

Reliance spent time building the fibre-optic backbone, one that would allow it to get into the mobile data services (more than 120 at the time of going to print); create Reliance WebWorlds, where you get services such as Internet telephony, video-conferencing, digital suitcases, etc.; create a network for fixed wireless

terminals on the WLL platform; create Internet data centres for services such as Web-hosting and call centres (majors such as ESPN-Star, State Bank of India and Morgan Stanley are hosted there); anywhere-Internet services from your mobile phone; and now even international calling cards at previously unheard-of prices.

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The Reliance WebWorld model works under a simple premise—provide personal services such as surfing and gaming (left), and corporate services such as broadband (right) under one roof using their existing fibre-optic network

